

25CV02643 Jose Topete v. Deckers Outdoor Corp., et al.

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-08-26

Motion: Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement

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Tentative Ruling: Jose Topete v. Deckers Outdoor Corp., et al.

Case Number

25CV02643

Case Type

Civil Law & Motion

Hearing Date / Time

Wed, 08/26/2026 - 10:00

Nature of Proceedings

Plaintiff's Motion for Preliminary Approval of Class Action and PAGA Settlement

Tentative Ruling

For Plaintiff Jose Topete: Michael C. Robinson, Jr., Orion S. Robinson, Robinson De Lando

For Defendants Deckers Outdoor Corporation, Thomas Garcia, Steven Fasching, Stefano Caroti, and Lisa Bereda: Jared W. Speier, Lindsay L. Bowden, Stradling Yocca Carlson & Rauth LLP

For Non-Party Johnathan D. McDowell: Joseph Lavi, Eric D. Tims, Lavi & Ebrahimian LLP

RULING

For the reasons stated herein, the motion of Plaintiff for preliminary approval of class action and PAGA settlement is granted.

The Court has reviewed the amended proposed order submitted on August 17, 2026, and intends on signing the same. The relevant terms include:

Preliminary approval of the settlement set forth in the Class Action and PAGA Settlement Agreement is granted; and

The proposed settlement class is conditionally certified; and

Plaintiff Jose Topete is provisionally appointed as the representative of the settlement class; and

Michael Robinson and Orion Robinson of Robinson Di Lando APLC are provisionally appointed as class counsel; and

Distribution of the proposed notice of class action settlement to the settlement class is approved; and

Phoenix Class Action Administration Solutions is provisionally appointed as the third-party settlement administrator; and

A hearing on Final Approval of Settlement is set for February 24, 2027, at 10:00 a.m. in Department 3. This date and time will be added to the amended proposed order at paragraph No. 15.

All documents related to the final approval, fees, costs, and enhancement award, shall be filed no later than 16 Court days prior to the final approval hearing date.

Background:

This action commenced on April 28, 2025, by the filing of the class-action and Private Attorneys General Act (PAGA) representative action complaint by Plaintiff Jose Topete against Defendants Deckers Outdoor Corporation, Thomas Garcia, Steven Fasching, Stefano Caroti, and Lisa Bereda (collectively "Defendants") for: (1) Failure to pay overtime wages; (2) Failure to pay minimum wages; (3) Failure to provide meal periods or compensation in lieu thereof; (4) Failure to provide rest periods or compensation in lieu thereof; (5) Failure to pay due wages at termination; (6) Failure to furnish accurate wage statements; (7) Violation of Labor Code section 226, subdivision (c); (8) Violation of Labor Code section 1198.5; (9) Violation of Labor Code section 2802; (10) Unfair competition; and (11) Civil Penalties under Labor Code section 2699, et seq. (PAGA).

On August 7, 2025, Defendants answered the complaint with a general denial and 29 affirmative defenses.

On December 4, 2025, Plaintiff filed a notice of conditional settlement of entire case.

On March 23, 2026, non-party Jonathan D. McDowell filed a notice of submission of his petition, in the matter of Johnathan D. McDowell v. Deckers Outdoor Corporation, Riverside County Superior Court Case No. CVRI2407135, (McDowell Case) for coordination with this action, with the Chair of the Judicial Council.

On April 30, 2026, Plaintiff filed the present motion for preliminary approval of class action and PAGA settlement

On June 3, 2026, this Court issued a tentative ruling and on June 27, 2026, adopted the tentative ruling, which provides:

"A. The included actions set forth in the caption (County of Riverside Case No. CVRI2407135 and County of Santa Barbara Case No. 25CV02643) are complex (Rule 3.502); and

B. Coordination of those actions are appropriate; and

C. The Court grants the petition for coordination; and

D. The Santa Barbara Superior Court, Department #3, Thomas P. Anderle, Judge will be the site of the coordination proceedings; and

E. The reviewing Court having appellate jurisdiction of the actions to be coordinated is Division 6 of District 2, offices located at: Court Place 200 East Santa Clara Street, Ventura, CA 93001; and

F. The cases are stayed pending further order of this Court; and

G. This is important and complex litigation. The Court has designated this case as falling within the meaning of California Standards of Judicial Management for Complex Litigation. The Court finds that complex litigation fees are not appropriate to be levied; all such fees are waived; and

H. Both cases appear to involve the same issues; to wit: Failure to pay overtime wages; Failure to Pay Minimum Wages; Failure to Provide Meal Periods or Compensation in lieu Thereof; Failure to Provide Rest Periods or Compensation In Lieu Thereof; Failure to Pay Due Wages At Termination; Failure to Furnish Accurate Wage Statements; Violation of Labor Code 226(C); Violation of Labor Code 1198.5; Violation of Labor Code

2802; Unfair Competition; Civil Penalties Under Labor Code Section 2699, et seq. (PAGA); and

I. A Notice of Settlement of the Entire Case [in the Santa Barbara case, i.e. the Topete Class Action] was filed 12/4/25. A Motion for Preliminary Approval of Cass Action Settlement is set for hearing in the Santa Barbara case for 7/29/26 at 10am; and

J. On 3/23/26 the Attorneys for Plaintiff Jonathan D. McDowell caused to be filed in the Santa Barbara case a notice that on or about 3/19/26, Plaintiff and petitioner Jonathan D. McDowell, in the action entitled Jonathan D. McDowell vs. Deckers Outdoor Corporation, Riverside County Superior Court Case No. CVRI2407135 ("McDowell Class Action"), submitted a Petition for Coordination to the Chair of the Judicial Council of California pursuant to Code of Civil Procedure section 404 et seq. and California Rules of Court, rules 3.501 et seq. for coordination of the McDowell Class Action filed December 26, 2024, with the action styled Jose Topete vs. Deckers Outdoor Corporation, a Delaware corporation, et al., Santa Barbara County Superior Court Case No. 25CV02643, filed April 28, 2025 ("Topete Class Action"); and

K. The Attorneys will submit, in their CMCSs, (1) how the Settlement in the Topete Action affects the McDowell Action and (2) how we should move forward in the consolidated action." (June 26, 2026 Minute Order.)

On July 7, 2026, Plaintiff and Defendants filed a Joint Hearing Brief regarding the motion for preliminary approval. By way of the brief, the parties argued:

"The settlement class in the Topete Action is defined as " 'all of Defendant Deckers' non-exempt employees in California during the Class Period of November 20, 2021 through the Preliminary Approval Date.' " The settlement class in the Topete Action consists only of the non-exempt employees employed with Defendant Deckers, and does not include temporary employees assigned to Deckers through staffing agencies.

Accordingly, the settlement of the Topete Action does not affect the entirety of the McDowell Action. McDowell was an employee of a staffing agency and was placed on assignment with Deckers during this time period, but he was never employed by Deckers. Thus, McDowell does not fall within this definition, and his individual claims do not fall within the release contained in the settlement agreement." (Joint Hearing Brief, p. 3, ll. 8-17.)

"Since the Topete Action settlement is limited to non-exempt employees of Deckers during the Class Period and does not include McDowell's individual claims or claims on behalf of temporary employees of staffing agencies placed on assignment with Deckers, Topete should be able to proceed with his Motion for Preliminary Approval of Class and PAGA Settlement. It is clear that McDowell cannot pursue claims on behalf of the defined class in Topete as he does not have standing nor is he an adequate class representative because he was a temporary employee of a staffing agency placed for a temporary assignment with Deckers. Consequently, the Parties respectfully request that the Court permit Topete to proceed forward with approval of the class and PAGA settlement reached in the Topete Action." (Joint Hearing Brief, p. 4, ll. 18-26.)

On July 13, 2026, McDowell filed a Responsive Hearing Brief in response to Plaintiff and Deckers' joint hearing brief. By way of the response, McDowell argues:

"The July 7 Joint Hearing Brief filed by Jose Topete and Defendant [] sharpen

the issues identified in the Court's Case Management Conference Order []. The executed Class Action and PAGA Settlement Agreement [] does not expressly exclude staffing-agency workers, even though the Joint Hearing Brief represents that the settlement is limited to employees hired directly by Deckers and excludes temporary employees assigned through staffing agencies.

That difference matters. The Settlement defines the class as all of Deckers's nonexempt California employees, defines a workweek as a week in which a class member worked " 'for Defendant as a non-exempt employee,' " and releases claims against an expansive group of Released Parties that includes Defendant's agents. (Settlement, §§ 1.5, 1.42, 1.46, 6.1.) It contains no express reference to temporary workers, staffing agencies, direct employment, mixed-status workers, or work performed while employed by a staffing agency. Because McDowell alleges that Defendant employed both direct and temp-agency workers, subjected hourly nonexempt workers to Defendant's control, and were jointly and severally liable under the applicable Wage Order and Labor Code, the Joint Brief's narrowing representation must be placed in the Settlement, notice, administration protocol, approval orders, and judgment." (Responsive Brief, p. 1, ll. 2-16.)

"McDowell therefore conditionally opposes preliminary approval on the current papers. He does not oppose a fair settlement that is expressly confined to direct-hire work, supported by a record permitting independent review, and revised to preserve staffing-agency and mixed-status temporary-assignment claims. But preliminary approval should not proceed unless the settling parties conform the operative documents to their representations, supply the missing valuation and administration information, and give McDowell a fair opportunity to respond in this coordinated proceeding." (Responsive Brief, p. 1, l. 24 - p. 2, l. 1.)

"The Court should require an amendment stating that the class, aggrieved-employee group, releases, Released Parties, class data, notice, orders, and judgment exclude: (1) persons who worked at Deckers solely through a staffing agency; (2) claims arising from any staffing-agency assignment; (3) staffing agencies in their capacity as employers or joint employers of assigned workers; and (4) the temporary-assignment periods of mixed-status workers. If the settling parties do not agree to those exclusions or substantively equivalent language, their position differs from the Joint Brief and requires further litigation before approval." (Responsive Brief, p. 3, l. 25 - p. 4, l. 2.)

“The proposed notice should state conspicuously that the settlement does not release persons who worked solely through staffing agencies, claims arising from temporary assignments, or a mixed-status worker’s temporary-assignment period. It should not rely on the potentially ambiguous phrases “ ‘employee of Defendant’ ” or “ ‘worked for Defendant.’ ” ¶ It also should identify the covered employer and payroll source, and describe the distinction between direct and temporary work. (Responsive Brief, p. 6, ll. 13-17.)

On July 17, 2026, the Court acknowledged receipt and review of the briefs and confirmed the hearing on the motion for preliminary approval for August 26, 2026.

On August 13, 2026, Defendants filed a notice of non-opposition to the motion for preliminary approval.

On August 17, 2026, Plaintiff filed a reply brief that simply stated that Plaintiff and Defendants are agreeable with McDowell’s request that the Court’s order granting the motion for preliminary approval should contain language that temporary employees of Defendants are not included in the settlement class. Plaintiff also submitted an amended proposed order that clarifies the exclusion of temporary employees.

Analysis

“Except in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 15 pages.” (Cal. Rules of Court, rule 3.1113(d).)

“A memorandum that exceeds the page limits of these rules must be filed and considered in the same manner as a late-filed paper.” (Cal. Rules of Court, rule 3.1113(g).)

The Court may, at any time in its discretion: “Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a Court rule, or an order of the Court.” (Code Civ. Proc., § 436, subd. (b).)

Excluding the caption, notice, table of contents, and table of authorities, Plaintiff’s memorandum in support of the motion is 38 pages long. Plaintiff did not file an application to file a memorandum longer than the allowed 15 pages, and the Court does not believe that a longer memorandum is necessary. Plaintiff’s motion is unnecessarily repetitive and contains a great deal of unnecessary argument that is outside of what is required to be shown when seeking preliminary approval of a class-action and PAGA settlement.

The Court considered striking the memorandum of points and authorities and denying the motion without prejudice, or setting an Order to Show Cause re: why counsel should not be sanctioned pursuant to California Rules of Court, rule 2.30. However, the Court will consider the over-length document. Counsel is reminded of their obligations to comply with the California Rules of Court and the potential consequences of failing to do so.

The purpose of the preliminary approval hearing is to determine whether the settlement is within the range of reasonableness for preliminary approval and to approve or deny certification of a provisional settlement class. A full inquiry into the fairness of the proposed settlement occurs at the final approval hearing. (Rules of Court, rule 3.769, subd. (g).)

“‘The Court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.’” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 129.) The Court has broad discretion to determine whether the settlement is fair. (Dunk v. Ford Motor Co.) (1996) 48 Cal.App.4th 1794, 1801.) “The well-recognized factors that the trial Court should consider in evaluating the reasonableness of a class action settlement agreement include ‘the strength of Plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction

of the class members to the proposed settlement.’ [Citations.] This list ‘is not exhaustive and should be tailored to each case.’ [Citation.]” (Kullar v. Foot Locker Retail, Inc., supra, 168 Cal.App.4th at p. 128.)

A PAGA action is a type of qui tam action, in which a private party is authorized to bring an action to recover a penalty on behalf of the government and receive part of the recovery as compensation. (Huff v. Securitas Sec. Servs. USA, Inc. (2018) 23 Cal.App.5th 745, 753.) In doing so, the employee acts as proxy for the state labor law enforcement agency; the proceeding is designed to protect the public, not to benefit private parties. (Amalgamated Transit Union, Local 1756, AFL-CIO v. Superior Court (2009) 46 Cal.4th 993, 1003.) The dispute is between the employer and the state. (Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81.) The purpose of PAGA is not to recover damages, restitution, or redress the employees’ injuries, but to recover civil penalties to remediate present violations and deter future ones. (Id. at p. 86.) While a PAGA case is representative in nature, it is not a class action and may be brought without the procedural requirements involved in class actions.

“Except as provided in subdivision (n), civil penalties recovered by aggrieved employees shall be distributed as follows: 65 percent to the Labor and Workforce Development Agency for enforcement of labor laws, including the administration of this part, and for education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 35 percent to the aggrieved employees.” (Lab. Code, § 2699, subd. (m).)

On November 24, 2025, following informal discovery and exchange of information, the parties participated in mediation with mediator Anthony Pantoni and agreed to settlement terms. (Robinson decl., ¶ 10.) In April 2026, the parties executed a class action and PAGA settlement agreement (the “agreement”). (Robinson decl., ¶ 2 & Exh. 1.)

Pursuant to the executed agreement, the parties stipulate to settlement of the class action and PAGA claims, including the following terms:

The Class Period means the period from November 20, 2021, through the date of preliminary Court approval of the settlement. (Agreement, ¶ 1.12.) The PAGA Period means the period from February 22, 2024, through the date of preliminary Court approval of the settlement. (Agreement, ¶ 1.32.) “Class Members” or “Settlement Class” means a member of the Class, as either a Participating Class Member or Non-Participating Class Member (including a Non-Participating Class Member who qualifies as an Aggrieved Employee). (Agreement, ¶ 1.9.) “Aggrieved Employee” means all of Defendant Deckers’ non-exempt hourly employees during the PAGA Period. (Agreement, ¶ 1.4.)

Deckers contends that it employed 805 putative class members during the Class Period through the date of mediation. (Robinson decl., ¶¶ 8, 30.)

The non-revisionary gross settlement amount is \$300,000.00 and is inclusive of payments to the class, class counsels’ fees, class counsels’ costs, settlement administration costs, representative enhancement payment to Plaintiff, and payment of PAGA penalties. (Agreement, ¶¶ 3.1 - 3.4.5.3.)

The parties agreed to the following payments from the gross settlement amount:

Class Representative Service Payment of not more than \$10,000.00 (in addition to any individual Class Payment and any individual PAGA Payment the Class Representative is entitled to receive as a participating class member) to Plaintiff. (Agreement, ¶ 3.2.1.)

A Class Counsel Fee of not more than 33.33 percent, which is currently estimated to be \$100,000.00 and Class Counsel litigation expenses of not more than \$15,000.00. (Agreement, ¶ 3.2.2.)

Administration expenses not to exceed \$15,000.00, except upon a showing of good cause and as approved by the Court, to Phoenix Class Action Administration Solutions (Phoenix). (Agreement, ¶ 3.2.3.)

Individual Class Payments calculated by dividing the net settlement amount by the total number of work weeks worked by all participating Class Members during the Class Period and multiplying the result by each participating Class Member's work weeks. (Agreement, ¶ 3.2.4.)

Ten percent of each participating Class Member's individual Class Payment will be allocated to settlement of wage claims, which are subject to tax withholding and will be reported on an IRS W-2 Form. (Agreement, ¶ 3.2.4.1.) 90 percent of each participating Class Member's individual Class Payment will be allocated to settlement of claims for interest and penalties and are not subject to wage withholdings and will be reported on IRS 1099 Forms. (Ibid.)

PAGA penalties, in the amount of \$25,000.00, are also to be paid from the Gross Settlement Amount, with 65 percent (\$16,250.00) allocated to the Labor & Workforce Development Agency (LWDA) and 35 percent (\$8,750.00) allocated to the individual PAGA payments. (Agreement, ¶ 3.2.5.) The Court notes that Plaintiff has given proper notice to the LWDA.

Not later than 15 days after the Court grants preliminary approval of the settlement, Defendants will deliver the Class Data to Phoenix in the form of a Microsoft Excel spreadsheet. (Agreement, ¶ 4.2.)

"Plaintiff retained James Toney, a data analyst, to analyze the sample. Mr. Toney has provided his expertise on hundreds of cases, and Plaintiff's counsel has worked with Mr. Toney many previous times in class action and PAGA claims. Mr. Toney analyzed Defendant's time and payroll data to assist in the development of a damage model. Among other things, Mr. Toney determined the approximate number of work shifts, workweeks, pay periods, average length of shift and average number of hours worked per week and pay periods during the Class Period. Mr. Toney also estimated the number of missed, late or truncated meal and rest periods, the amount of missed meal period premiums paid during the Class Period, the amount of unpaid wages due to miscalculation of the regular rate of pay, and the amount of potential off-the-clock work performed by the Class Members during the Class Period. Overall, Plaintiff's Counsel thoroughly investigated the claims at issue, including: (1) determining Plaintiff's suitability as a putative class representative through interviews, background investigations, and analysis of his employment files; (2) evaluating all of Plaintiff's potential claims; (3) researching similar wage and hour class actions as to the claims brought, the nature of the positions, and the type of employer; (4) analyzing the Class' sample time and payroll records; (5) analyzing Defendant's labor policies and practices; (6) researching settlements in similar cases as well as outstanding issues which could affect settlement approval; (7) evaluating Plaintiff's claims and estimating Defendant's liability for purposes of settlement; (8) drafting the mediation brief; and (9) participating in mediation. This investigation allowed Plaintiff's Counsel to fully assess the nature and magnitude of the claims being settled, as well as the impediments to recovery, such as making an independent assessment of the reasonableness of the terms to which the Parties have agreed." (Robinson decl., ¶ 9.)

"Plaintiff determined Defendants' maximum possible exposure for restitution and penalties to be approximately \$5,015,756.32 (consisting of \$2,077,561.61 in missed meal period premiums, \$2,198,244.71 in missed rest break premium wages, and \$739,950.00 for wage statement penalties.) Plaintiff's wage expert calculated \$13,112,500.00 for potential civil penalties under PAGA (if the penalties were stacked). Importantly, PAGA penalties are discretionary. Plaintiff calculated the damages based on the number of workweeks and pay periods provided by Defendant Deckers, Plaintiff's reports, and the employee data." (Robinson decl., ¶ 18.)

"Plaintiff considered the possibility that Defendants could launch a Pick-Up Stix campaign and pursue individual release agreements from the Class Members. Defendants advised that they intended to proceed with a Pick-Up Stix campaign in litigation. Defendants also represented that they had interviewed Defendant Decker's current employees regarding Plaintiff's claims, all of whom would provide declarations, under penalty of perjury, that were favorable to Defendants with respect to the relevant factual issues at issue in Plaintiff's action. Plaintiff's counsel applied discounts to the maximum possible exposure to account for all other risks discussed below. While it is difficult to assign anything but crudely determined percentages of risk to any of the claims, it is safe to say that the risk that a Pick-Up Stix campaign would preclude recovery for such employees is substantial and alone justifies a significant discount because Defendants would likely by trial have gathered releases from the majority of the Class Members. Furthermore, Defendants were in the process of obtaining

arbitration agreements and class waivers from class members, which would have potentially limited the recovery substantially. Additionally, Defendants argued that to the extent there were any Labor Code violations, they were not caused by company policies or procedures, rather, were the independent decisions of the employee. A settlement for approximately 6% of the potential recovery is a proportion sanctioned by existing case law.” (Robinson decl., ¶ 19.)

Plaintiff’s counsel details specific risks of proving, and recovering on, each of the alleged Labor Code and PAGA violations. (Robinson decl., ¶¶ 21-30.)

The Court has carefully analyzed the terms of the settlement, including the risks involved, the nature and scope of the release it requires of absent class members, the qualifications of class counsel, and the representative Plaintiff. The Court finds, generally, that the agreement is within the range of acceptable settlements.

Substantial investigation and discovery was conducted, giving rise to an informed settlement considering the risks of further litigating the action through trial. The case involves experienced class counsel, who believe the settlement is fair, reasonable, and in the best interests of the class members. The settlement was achieved through extensive arms-length negotiations and was not collusive.

The proposed Notice of Class Action and PAGA settlement and Hearing Date for Final Court Approval is attached as Exhibit A to the agreement.

“If the Court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the Court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (Cal. Rules of Court, rule 3.769(f).)

“ ‘ “The principal purpose of notice to the class is the protection of the integrity of the class action process. . . .” ’ ” [Citation.] “ ‘The notice ‘ ‘ ‘must fairly apprise the class members of the terms of the proposed compromise and of the options open to the dissenting class members.’ ” ’ ” [Citation.] A class action settlement notice should present information neutrally, simply, and understandably. The notice should allow class members to evaluate a proposed settlement. Notice should describe the formula or plan for computing individual settlement class member recoveries.” (Duran v. Obesity Research Institute, LLC (2016) 1 Cal.App.5th 635, 644.)

The proposed Notice is sufficient and complies with all applicable requirements.

The motion asks the Court for an order provisionally certifying the settlement class. The class is ascertainable from Defendants’ records and is so numerous that joinder of all members is impracticable. There are questions of law or fact common to the proposed class, and there is a well-defined community of interest among its members with respect to the subject matter of the litigation.

It appears to the Court that the claims of the class representative are typical of the claims of the members of the proposed class, and that he is positioned to fairly and adequately protect the interests of the class members. It also appears to the Court that proposed class counsel is experienced and qualified in wage and hour class litigation and will properly and adequately represent the interests of the absent class.

The Court further finds that the PAGA claim class is appropriate and the terms of the PAGA settlement are, generally, fair and reasonable.

The motion for preliminary approval will be granted.

Judges

Judge Thomas Anderle

Dept. 3 SB-Anacapa

1100 Anacapa Street P.O. Box 21107

Santa Barbara, CA 93121-1107

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